Chrysler was losing a small amount of money at the time, but the cash and the structure of the loan from the government told you that the bankers weren't going to shut the place down for at least a year or two.

So if you believed the auto industry was coming back, as I did, and you knew that Chrysler had made major improvements and had become a low-cost producer in the industry, then you could have had some confidence in Chrysler's survival. It wasn't as risky as it looked from the newspapers.

Micron Technology is another company that was snatched from oblivion by the debt structure—and Fidelity had a major hand in it. This was a wonderful company from Idaho that staggered into our office on its last legs, a victim of the slowdown in the computer memory-chip industry and of the Japanese "dumping" of DRAM memory chips on the market. Micron sued, claiming that there was no way the Japanese could produce chips at lower cost than Micron, and therefore the Japanese were selling the merchandise at a loss to drive out the competition. Eventually Micron won the suit.

Meanwhile, all of the important domestic producers except Texas Industries and Micron got out of the business. Micron's survival was threatened by the bank debt it had built up, and its stock had fallen from $40 to $4. Its last hope was selling a large convertible debenture (a bond that can be converted into stock at the buyer's discretion). This would enable the company to raise enough cash to pay off the bank debt and ride out its short-term difficulties, since the principal on the convertible debenture wasn't due for several years.

Fidelity bought a large part of that debenture. When the memory-chip business turned around and Micron returned to profitability, the stock rose from $4 to $24, and Fidelity made a nice gain.

DIVIDENDS

> *"Do you know the only thing that gives me pleasure? It's to see my dividends coming in."*
>
> *—John D. Rockefeller, 1901*

Stocks that pay dividends are often favored over stocks that don't pay dividends by investors who desire the extra income. There's nothing wrong with that. A check in the mail always comes in handy, even for John D. Rockefeller. But the real issue, as I see it, is how the dividend, or the lack of a dividend, affects the value of a company and the price of its stock over time.

The basic conflict between corporate directors and shareholders over